



DATA SOLUTIONS PROJECT

How to Maximize Profit as a SnappCar Car Owner While Minimizing Rental Risk Using Data

A DATA-DRIVEN APPROACH TO
PROFITABILITY AND RISK MANAGEMENT

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DATA SOLUTIONS PROJECT PROPOSAL
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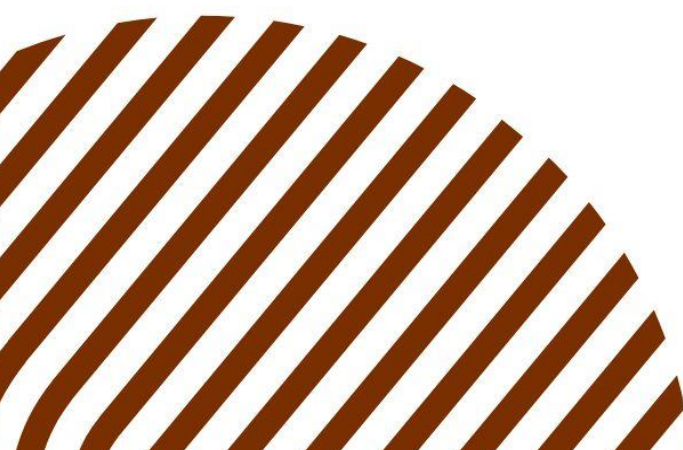


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1. Project Overview

• Purpose

The purpose of this project is to use data-driven analysis to determine whether a new car owner can safely and profitably rent out their vehicle on SnappCar. The project aims to evaluate if the owner's financial goal (e.g., €500 monthly profit) is achievable while keeping rental risks at an acceptable level.

• Objective

The objective of this project is to analyze the key factors that influence profitability and risk for a new SnappCar car owner. This includes understanding how pricing, renter reliability, platform fees, and rental demand affect both revenue and potential incidents. The project is important because car owners need clear, data-supported insights before deciding whether renting out their car is financially worthwhile and safe.

• Success Metrics

Success metrics define how we measure whether the project has achieved its goals. For this project, the key success metrics are as followed:

SUCCESS METRICS				
SUCCESS METRIC		DESCRIPTION	TARGET / OUTCOME	
1	 FINANCIAL FEASIBILITY	Determine if renting out the car can achieve the desired profit level.	>	 €500 net monthly profit.
2	 RISK REDUCTION	Identify and assess key risks and their impact on profitability.	>	 Clear overview of risks + risk reduction insights.
3	 OPTIMAL PRICE	Define a price range that balances demand and profitability.	>	 Data-supported price range.
4	 DEMAND ESTIMATION	Estimate expected booking rate based on competitor data and scenarios.	>	 Realistic booking rate forecast (e.g., ~70% occupancy)
5	 DECISION CLARITY	Provide a clear, evidence-based recommendation on viability.	>	 Final "go/no-go" decision supported by data.

2. User Description

Primary Users

The primary users are new or potential Snap Car car owners who want to understand whether renting out their car is financially worthwhile and how they can minimize rental risks. These users directly benefit from the insights, pricing strategies, and risk-reduction recommendations generated by the project.

Secondary Users

Secondary users include current SnappCar car owners who may use the findings to optimize their pricing strategy, improve their monthly profit, or reduce rental risks. Additionally, SnappCar as a platform may indirectly benefit if the analysis helps attract more car owners, improves host satisfaction, or increases platform activity and revenue.

User Needs and Pain Points

New or potential SnappCar car owners struggle with several uncertainties before deciding whether to rent out their car. Their main challenges are:

- **Unclear demand:** They don't know how often their car will realistically be rented or whether there is enough local demand to reach their income goals.
- **Pricing uncertainty:** They are unsure what price point is competitive yet profitable, especially with platform fees and seasonal fluctuations.
- **Risk concerns:** They worry about renter reliability, potential damage, insurance coverage, and how often risky situations occur.
- **Profitability doubts:** They cannot easily estimate whether renting out their car will actually generate meaningful profit (e.g., €500/month) after accounting for costs, wear-and-tear, and downtime.
- **Lack of data:** SnappCar does not provide detailed, personalized profitability forecasts, leaving owners to guess based on limited information.

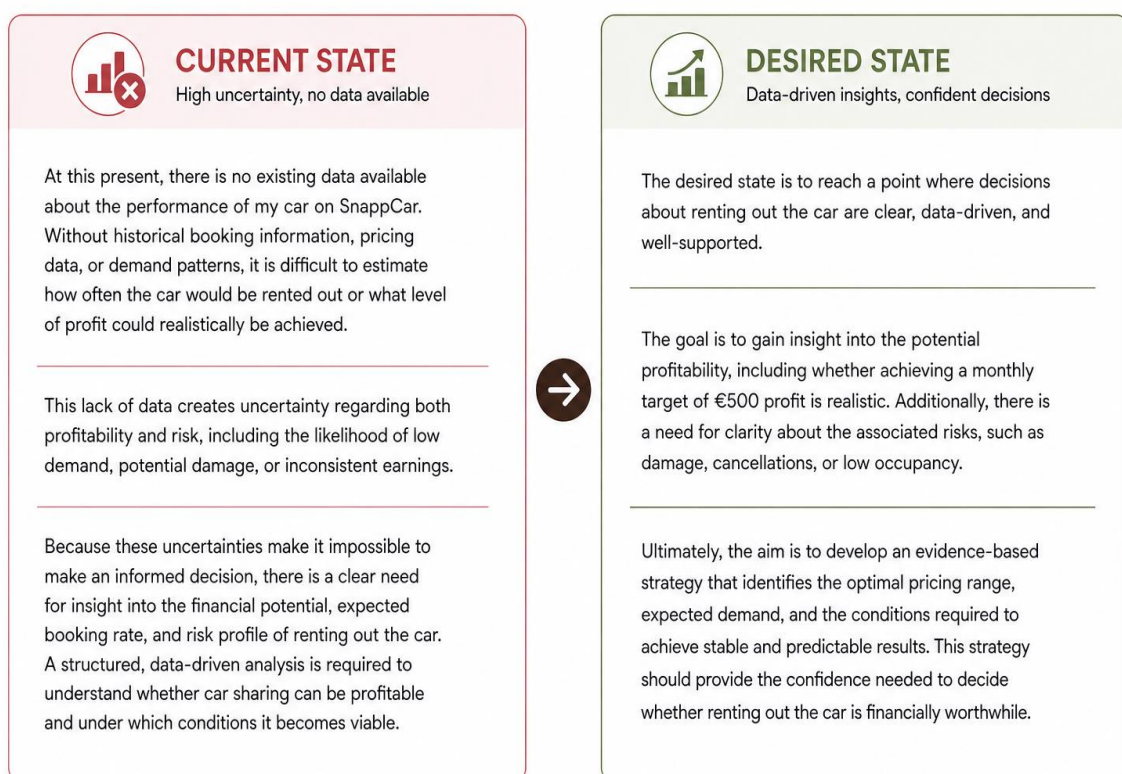
How this project helps: This project uses a data-driven analysis of demand, pricing, and profitability to give car owners a realistic, evidence-based understanding of their earning potential and risk exposure. By creating different scenarios and evaluating financial and risk factors, the project provides a clear, confident go/no-go recommendation that helps users make an informed decision before joining the platform.

3. Problem Definition

Current & Desired State

To clearly define the problem, it is essential to describe both the current state and the desired state. To make this comparison easier to understand, I have placed the two descriptions side by side.

CURRENT STATE vs DESIRED STATE



Problem Statement

A new SnappCar car owner wants to determine whether renting out their vehicle can realistically generate a stable monthly profit (e.g., €500) while keeping rental risks at an acceptable level. The problem is that profitability depends on several uncertain factors such as: demand, pricing, renter reliability, and competition, making it difficult to know in advance whether the financial goal is achievable. This project uses data to evaluate these conditions and provide a clear go/no-go recommendation.

“ How to maximize profit as a SnappCar car owner while minimizing rental risk using data”

4. Required Data and Data Sources

Data Requirements

As the car owner is not yet an active SnappCar member, this project uses realistic, market-based hypothetical metrics to simulate the decision-making process of a new car owner. These metrics are based on publicly available SnappCar pricing ranges, platform fees, and typical rental demand for similar vehicles. This allows us to build a data-driven model that evaluates whether achieving €500 monthly profit is feasible. To analyze profitability and rental risk for a new SnappCar car owner, the project requires the following types of data:

- **Competitor Pricing Data:** Daily rental prices, weekend prices.
- **Car Characteristics:** Car type, year, mileage, fuel type, transmission.
- **Demand Indicators:** Number of reviews, number of bookings, availability calendar, response rates.
- **Location-Based Data:** Competition density, average prices in the area, demand levels in the region.
- **Risk-Related Data:** Renter ratings, cancellation rates, damage reports (if available), reliability indicators.
- **Platform Fees & Costs:** SnappCar fees, insurance costs, cleaning costs, maintenance assumptions.

These data points allow you to model demand scenarios, estimate occupancy, calculate profit, and assess risk.

Data Sources, Availability & Quality

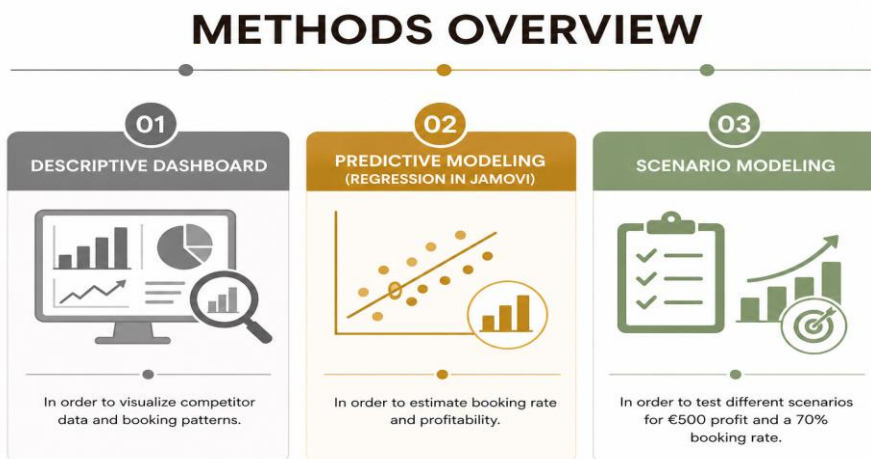
Since SnappCar does not provide internal analytics, this project relies on publicly accessible information and manually collected data. The analysis is based on three data sources:

1. Manually collected competitor data.
2. Public SnappCar search observations.
3. Hypothetical dataset (Excel).

5. Solution Description

Solution Approach

The data shown below supports the solution approach and forms the foundation of the analysis.



Tools and Technologies

The tools and technologies used in this project would be as followed:

- Gantt model → project management timeline and milestones.
- Excel → dataset building.
- Jamovi → statistical analysis.
- Canva / Word → document & visual design.

Implementation Steps

Data Preparation

- Collect real market pricing and other potential relevant factors from SnappCar.
- Build a hypothetical dataset in Excel.
- Define variables.
- Clean and organize the dataset so Jamovi can read it.

Analysis or Model Development

- Conducting descriptive statistics with Jamovi.
- Check relationships between variables.

- Build a regression model to estimate pricing or profitability.
- Identify patterns in demand scenarios.

Testing & Validation

- Check if the regression model makes sense (e.g., no impossible coefficients).
- Validate the scenario assumptions (e.g., demand levels are realistic).
- Compare your results with the real market pricing from SnappCar.
- Ensure the conclusions match the data.

6. Risks and Assumptions

Key Risks

Missing data is a real risk and can affect the quality of the answers to the ultimate question. Time constraints are also a risk, because some parts of the research or completing the dataset may take longer than others. Setbacks can happen, and sometimes it might be necessary to repeat certain analyses. These kinds of delays can impact the overall timeline if they are not managed properly.

Mitigation Strategies

Using a good project management tool like a Gantt chart keeps the structure visual and helps maintain discipline throughout the project. A personal choice of mine is to work ahead whenever possible: if I finish a task early, I don't wait until the planned week is over before starting the next item. This creates a buffer for tasks that may take longer than expected. It also helps prevent delays and ensures that deadlines are met.

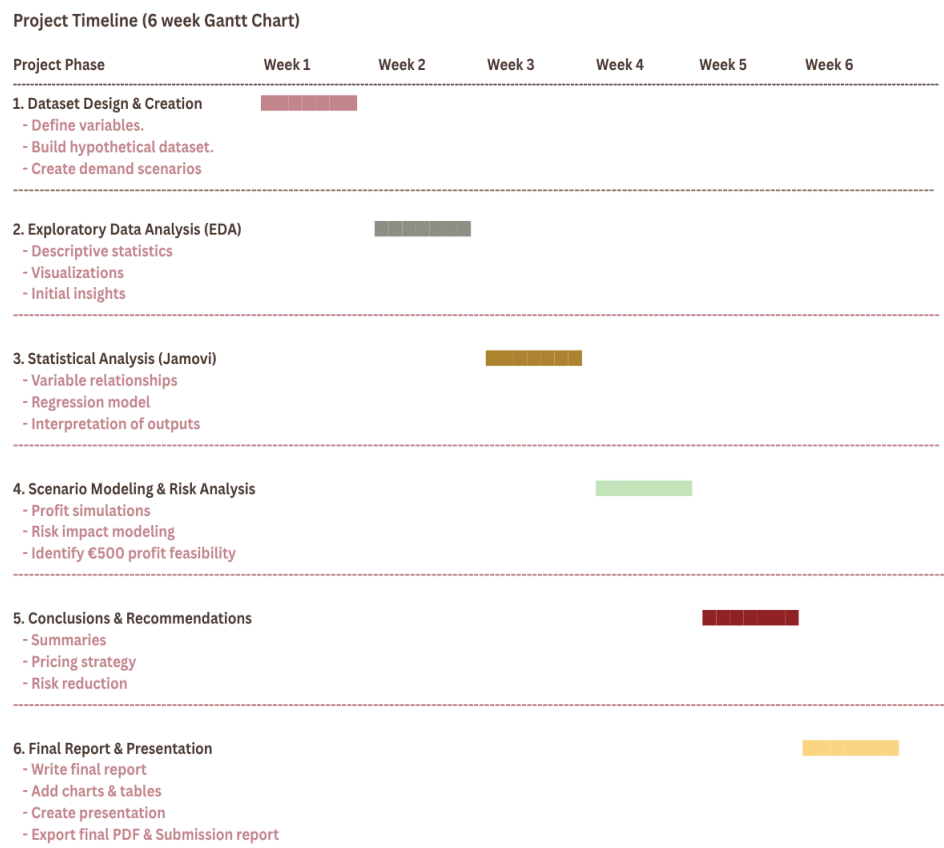
Assumptions

I assume I can follow the planned weekly workflow without any major interruptions. I also assume there won't be unexpected technical issues. I expect feedback to come within an acceptable timeframe; if not, I will send a reminder in time. If the project needs additional requirements to support a stronger data-driven decision, this will have to be researched early. Good communication with the stakeholders is key for this.

7. Timeline and Milestones

Key Milestones

To provide a clear overview of the project's progress, the key milestones and the corresponding timeline are presented together. This layout makes it easy to see the major checkpoints and how they align with the overall project planning.



Dependencies

The project follows a logical sequence where each task relies on the completion of the previous one:

1. **Data Collection:** Gathering competitor listings, prices, reviews, availability, and car characteristics is required before any analysis can begin.
2. **Data Cleaning:** The collected data must be cleaned and structured to ensure accuracy before generating insights.

3. **Data Overview / Summary Analysis:** A descriptive overview can only be created once the dataset is cleaned and organized.
4. **Demand Levels & Pricing Modeling:** Understanding demand patterns and defining price ranges depends on the initial data insights.
5. **Profitability Calculation:** Profit estimates require the demand scenarios and pricing model to be completed first.
6. **Final Recommendation (Go/No-Go):** The conclusion can only be drawn after all analyses: demand, pricing, and profitability are completed.

8. Conclusion

This project evaluates whether a new car owner can safely and profitably rent out their vehicle on SnappCar using a data-driven approach. By analyzing competitor pricing, demand patterns, and risk factors, the project aims to determine if achieving a monthly profit target of around €500 is realistic. The analysis also highlights the key risks involved and how they may impact profitability. Ultimately, the project provides a clear, evidence-based recommendation on whether renting out the car is financially viable and aligned with the owner's goals.

Summary

This project evaluates whether a new car owner can safely and profitably rent out their vehicle on SnappCar by using a data-driven approach based on realistic, market-based assumptions. Through analyzing pricing patterns, demand indicators, platform fees, and risk factors, the project builds a clear profitability model that estimates whether achieving a monthly profit of €500 is feasible. The expected value of this project is a well-supported go/no-go recommendation that helps a potential SnappCar owner make an informed financial decision before committing to the platform. This also demonstrates the value of using a data-driven approach to support clear and confident decision-making.

Next Steps

1. Collect data from SnappCar
2. Prepare and clean the dataset to ensure accurate analysis.
3. Create a data overview to understand patterns in pricing and demand.
4. Define demand scenarios
5. Model pricing and profitability to estimate realistic monthly earnings.
6. Formulate the final go/no-go recommendation based on the results.